

Member ID: _____

Time: _____

Rank: _____



PERSONAL FINANCIAL MANAGEMENT (165)

NATIONAL 2025

CONCEPT KNOWLEDGE:

Multiple Choice (30 @ 2 points each) _____ (60 points)

APPLICATION KNOWLEDGE:

Short Answer (23 @ 3 points each) _____ (69 points)

TOTAL POINTS _____ (***129 points***)

Test Time: 60 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

The test is divided into two parts, and you **MUST** complete both parts. You will have 60 minutes to complete your work.

PART ONE Instructions: Concept Knowledge

1. Open Google Chrome and navigate to complete.bpa.org.
2. Click on the Secondary Division Competitions button.
3. Enter your BPA Member ID (8-digits) and Password to access your test questions.
4. Answer all questions and submit your test.
5. Move on to Part Two.

PART TWO: Application Knowledge

Complete the questions in the rest of this test booklet by filling in the PDF.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 60 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimals at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Short Answer – 69 Points – 3 points each

1. Julian Ricardo has homeowner's insurance coverage worth \$300,000 with a local company. He pays the insurance company directly through payments of \$150 per month. The policy includes a \$5,000 deductible and includes coverage on other structures on the property.

A severe storm with very high winds hits Julian's neighborhood, and does the following damage to his property:

- \$12,000 worth of damage to the roof
- \$1,500 worth of broken windows
- \$800 worth of damage to his fence from a tree that fell
- \$2,000 worth of damage to his car from the same tree

- a. How much does Julian pay annually for his insurance policy? _____
- b. Does the policy pay for the fence damage? _____
- c. Does the policy pay for the car damage? _____
- d. How much will Julian pay out of pocket for the homeowner's claim? _____
- e. How much will the insurance cover on Julian's homeowner's claim? _____
2. Sarah Simmons purchases a \$5,000.00 coupon bond at the beginning of 2025 for \$4,200.00. The coupon rate on the bond is 5%, payable semi-annually. At the end of 2025, the bond is trading on the open market for \$3,650.00.
- a. How much will Sarah receive for each interest payment? _____
- b. What is the current yield of the bond at the end of 2025? _____
- c. How much will Sarah receive upon maturity? _____
3. On May 10, 2025 Leah Towns received a bonus from work of \$8,000 net of taxes. She met with her broker and invested in the following: 15 shares of Ramirez Supply Inc. @ \$150.50; 75 shares of SMS Corp @ \$37.43; and 10 shares of Widget Co @ \$168.30. Her broker charges a 2% commission on all transactions. On June 10, 2025, the three stocks closed the day trading at the following prices: Ramirez Supply Inc - \$162.14; SMS Corp - \$41.15; Widget Co - \$179.25
- a. How much did Leah spend for her investment on the stocks, including the fees?
- _____

- b. Ignoring the broker's fees, what percentage of her investment was used for Widget Co?
- _____
- c. How much does Talia have remaining from her bonus after her investment?
- _____
- d. Which stock increased by the largest percentage from May 10th to June 10th?
- _____
- e. As of the close of the market on June 10th, what was the total percentage return on her investment, ignoring the broker's fees?
- _____
- f. What is Leah's investment worth after the close of the market on June 14th?
- _____
4. Carlos Sanchez purchases a Treasury bill with a face value of \$10,000.00 for a purchase price of \$9,780.00. The T-bill will mature in 13 weeks.
- a. How much will Carlos earn on the investment? _____
- b. What is the discount yield on the T-bill? _____
5. On May 2nd, Kim Nguyen buys into the Johnson Large-cap value mutual fund. The fund includes a deferred load of 3.0%. Kim buys 100 shares of the fund, costing her a total of \$4,140.00. Kim sells the fund on October 10th with a NAV of \$47.15.
- a. What was the NAV on May 2nd for the mutual fund? _____
- b. Ignoring the load, what was the return on her investment upon the sell? _____
- c. How much money did she receive when she sold the fund? _____
6. Katie wants to invest in the stock market. She researches two companies and finds the following information.

Current Stock Price	Number of Shares Outstanding	Net Income
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Common Corp	\$22.45	72,800,000	\$110,000,000
Lakeland Inc	\$92.15	214,600,000	\$720,000,000

- a. What is the EPS for Common Corp? _____
- b. What is the EPS for Lakeland Inc? _____
- c. What is the P/E ratio for Common Corp? _____
- d. What is the P/E ratio for Lakeland Inc? _____